DANGER! GLOBAL RECESSION AHEAD

Nirmala Sitharaman managed more crises than any other finance minister in recent times and she managed them pretty well. But she still has to contend with high inflation, low growth and fewer jobs

By Shwweta Punj

WHEN NIRMALA SITHARAMAN TOOK over as India's finance minister in May 2019, India's growth was being squeezed by a slowdown in domestic demand and private investment. The country's GDP had been falling in consecutive quarters since the third quarter of 2016-17. The arrival of the Covid-19 pandemic only compounded India's woes as the country went into a stringent lockdown from March 25, 2020. India saw two successive quarters of negative GDP growth, with FY21 ending with growth contraction of 7.3 per cent. India's health infrastructure stood overwhelmed, and millions of Indians employed in its informal economy faced a crisis of livelihood. The FM was in an unenviable position. Across the world, governments were loosening their purse strings to put money in people's hands. Sitharaman, too, was expected to give a direct stimulus to the economy. Her team, however, chose a different, multi-pronged strategy—multiple relief packages for weaker sections of society; help businesses, especially smaller ones, sustain themselves through the crisis; and focus heavily on infrastructure development to create jobs.

To this end, Prime Minister Narendra Modi announced a Rs 20 lakh crore stimulus package in May 2020. Part of the Aatmanirbhar Bharat Abhiyan, it gave small businesses tax breaks, a Rs 1.7 lakh crore package for free foodgrains to the poor and cash to poor women and the elderly, and a focus on infrastructure spending. The government launched an Emergency Credit Line Guarantee Scheme

WHAT'S DONE

- A Rs 20 lakh crore stimulus package announced in May 2020
- Extended emergency credit line guarantee scheme for MSMEs
- Reiterated commitment to National Infrastructure Pipeline envisaging an investment of Rs 108 lakh crore between 2019–20 and 2024–25
- Announced asset monetisation programme to raise Rs 6 lakh crore
- Announced production-linked incentive schemes in 13 key sectors

CHALLENGES AHEAD

- Need for a Universal Basic Income or an urban MGNREGA
- Incentivise exports by working with states to improve ease of doing business
- Build import resilience to reduce dependence on crude oil, pharma ingredients or edible oil
- Focus on manufacturing, which can create millions of jobs